

AUDITED RESULTS FOR THE YEAR ENDED 31 DECEMBER 2014

The Board of Directors of the Nairobi Securities Exchange Limited (NSE) is pleased to announce the audited results of the company for the year ended 31 December 2014

Condensed Statement of Profit or Loss and Other Comprehensive Income For the year ended 31 December 2014

	31-Dec-14 Kshs '000	31-Dec-13 Kshs '000
Operating income	641,736	488,766
Interest income	39,514	21,420
Other income	140,651	112,527
Total income	821,901	622,713
Administrative expenses	(389,466)	(333,838)
Finance costs	(14,290)	(39,360)
Share of profit of associate company	23,741	14,407
(Write off)/recovery of doubtful debt	(75)	115,574
Profit before taxation	441,811	379,496
Taxation charge	(121,770)	(117,077)
Profit for the year	320,041	262,419
Total other comprehensive income for the year	26	373
Total comprehensive income for the year	320,067	262,792
Earnings per share - Basic and diluted - Kshs.	2.13	2.04

Condensed Statement of Financial Position As at 31 December 2014

	31-Dec-14 Kshs '000	31-Dec-13 Kshs '000
ASSETS		
Non current assets	897,037	864,180
Current assets	788,067	284,944
Total assets	1,685,104	1,149,124
EQUITY AND LIABILITIES		
Share capital	778,500	24,500
Share premium	277,185	-
Retained earning and revaluation reserves	487,377	706,310
Non current liabilities	13,536	136,280
Current liabilities	128,506	282,034
Total equity and liabilities	1,685,104	1,149,124

Condensed Statement of Cashflows For the year ended 31 December 2014

	31-Dec-14 Kshs '000	31-Dec-13 Kshs '000
Cash flows from operating activities		
Cash generated from operations	317,277	457,253
Tax paid	(160,417)	(32,286)
Net cash generated from operating activities	156,860	424,967
Net cash used in investing activities	(7,658)	(116,788)
Net cash generated from/(used in) financing activities	321,405	(217,703)
Increase in cash and cash equivalents	470,607	90,476
Cash and cash equivalents at the beginning of the year	170,048	79,572
Cash and cash equivalents at the end of the year	640,655	170,048

Condensed Statement of Changes in Equity For the year ended 31 December 2014

	Share capital Kshs '000	Share premium Kshs '000	Retained earnings Kshs '000	Revaluation reserve Kshs '000
At 1 January 2013	24,500	-	468,018	-
2012 dividend declared in the year	-	-	(24,500)	-
Total comprehensive income for the year	-	-	262,264	528
At 31 December 2013	24,500	-	705,782	528
Bonus issue	490,000	-	(490,000)	-
2013 dividend declared in the year	-	-	(49,000)	-
Additional share issue	264,000	277,185	-	-
Transfer of excess depreciation and deferred tax	-	-	12	(12)
Total comprehensive income for the period	-	-	320,067	-
At 31 December 2014	778,500	277,185	486,861	516



EXPLANATORY NOTES

The above financial statements are extracts of the audited financial results of the NSE. The accounting policies used in preparing these audited financial statements are consistent and should be read in conjunction with those used for the annual financial statements for the year ended 31 December 2014.

FINANCIAL HIGHLIGHTS

- Total income increased by 32% from Kshs. 622.7 million in 2013 to Kshs. 821.9 million in 2014. This was driven majorly by the 39% increase in equity turnover from Kshs. 311 billion in 2013 to Kshs. 431 billion in 2014. In the same period, secondary trading activity in the fixed income market rose by 11% from Kshs. 914 billion in 2013 to Kshs. 1,012 billion in 2014.
- Profit before tax increased by 67% from Kshs. 263.9 million in 2013 (as adjusted for the one-off recovery of doubtful debts of Kshs. 115.6 million) to Kshs. 441.8 million in 2014.
- Total assets increased by 47% from Kshs. 1,149 billion in 2013 to Kshs. 1,685 billion in 2014.
- Share capital increased by Kshs. 754 Million after the capitalization of bonus shares worth Kshs. 490 million (at a par value of Kshs. 4 per share) and the issuance of 66 Million new shares worth Kshs. 264 million (at a par value of Kshs. 4 per share) during the Initial Public Offer.
- Non-current liabilities decreased by 90% from Kshs. 136.28 million in 2013 to Kshs. 13.54 million in 2014 after the full repayment of the long term borrowing.
- Share premium increased by Kshs. 277.2 million through the issuance of 66 million shares at a premium of Kshs. 5.50 per share.

OUTLOOK FOR 2015

Investor interest in Kenya and the broader East African region remains strong. Economic growth will continue to be driven by sustained expansion in consumer services (including financial services and telecommunications), a thriving middle class with disposable income, progressive urbanization, structural reforms and increasing investment in infrastructure.

The Exchange is on course to launch the derivatives market. Our initial products will be single stock and index futures before offering currency-based contracts.

We expect further listings on the Growth Enterprise Market Segment (GEMS) and new listings of Real Estate Investment Trusts (REITs).

The upgrade of the Automated Trading System (ATS) will be done this year. This will allow the Exchange to better support its new product and service offerings.

The Board of Directors and Management of the NSE are optimistic about the performance of the bourse in 2015 and will also be at the forefront of promoting sustainable business practice in the capital markets.

DIVIDENDS

The Directors recommend the payment of a first and final dividend for the year 2014 of Kshs. 0.38 per ordinary share. The dividend is subject to shareholders' approval and payment will be subject to withholding tax, where applicable. The payment will be made on or about Thursday, September 24, 2015 to the shareholders registered on the company's register at the close of business on Thursday, June 25, 2015. The register will remain closed for one day on Friday June 26, 2015 for preparation of dividend warrants.

ANNUAL GENERAL MEETING

Notice is hereby given that the Annual General Meeting of the Nairobi Securities Exchange Limited will be held on Thursday, June 25, 2015 at a venue to be advised.

MESSAGE FROM THE DIRECTORS

These are extracts from the financial statements of the company which have been audited by Deloitte and Touche and have received an unqualified opinion. A full set of these financial statements will be availed at our registered office at The Exchange, 55 Westlands Road and online at www.nse.co.ke for inspection after approval by shareholders at the Annual General Meeting.

The financial statements were approved and authorised for issue by the Board of Directors on March 26, 2015 and were signed on its behalf by:

Mr. Edward Njoroge
Chairman

Dr. Jonathan Ciano
Director

Mr. Geoffrey O. Odundo
Chief Executive

